

served as the "Central Exchange".

Despite this early start, the telephone network in India did not expand rapidly. A desire to gain better control of the country led the British to connect major towns and cities by phone. But they had no interest in bringing this revolutionary means of communication to the common man. No surprise that as late as 1948, more than six decades after the phone arrived in India, there were only 80,000 phones countrywide.

The Government of India made a more serious effort to expand the telephone network in the country following Independence, but the pace of expansion was slow. The telephone remained a "luxury" and therefore out of reach of the common man for almost another half a century. When I left India in the mid-1970s, waitlists for phones in most cities were several years long. To make matters worse, the service was hopelessly poor: the running joke was that half the time you could not get the dial tone and the other half of the time you would get a wrong number. The advent of Subscriber Trunk Dialling and International Subscriber Dialling public call booths in the second half of the 1980s gave some respite to the common man seeking access to phone service. But the number of phones per 100 people remained embarrassingly low at 0.6 as the decade came to a close.

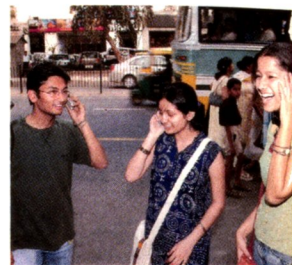
Former prime minister P.V. Narasimha Rao chipped away the gov-

ernment monopoly over telecommunications by letting private mobile phone operators enter the market in select cities in the mid 1990s. The change led to some acceleration in the growth of phones but the telecommunications revolution came about only after another former prime minister A B Vajpayee introduced and implemented the New Telecom Policy (NTP) in 1999. Under the NTP, private sector players gained entry in all markets and were rapidly placed on an equal footing with public sector suppliers. Healthy competition ensued and growth in mobile telephony exploded. India went from a total sum of five million telephones installed in the first 110 years to adding 15 million phones per month in August 2009. In less than a decade, private sector firms captured 80 per cent of the market in all phones and 85 per cent in mobile phones.

Today, mobile phones have become a necessity for all. Fishermen use it to check the market that would offer them the highest price for the day's catch even before they arrive on the shores. If their motorboats break down, they can instantly call for help rather than wait until another boat happens to pass by them. Farmers use the mobile phone to find the prices of their produce in nearby markets. In case of pests attacking their crop, farmers can transmit the pictures or video clips of the infestation to extension service centres to get instant customised advice on remedies.

WE DID NOT
START THE
price war
but simply
responded as
we did not
have a choice.

SUNIL BHARTI
MITTAL, CHAIRMAN,
BHARTI TELECOM



Celling POINT

1999 The Government implements the National Telecom Policy, which allows operators to switch from their bid-based licence fee to a revenue-sharing system.

2001 Licence fee is reduced; CDMA spectrum allotted; 17 new GSM licences awarded.

2003 Incoming calls on cellphones free.

2003 Unified Access Services (UAS) Licence is instituted to legalise Reliance Infocomm.

2006 Nokia starts production at Sriperumbudur, bringing down the cost of handsets.

2009 The telecom subscriber base crosses the 500 million mark.

SPIN-OFFS

Dial-a-word



Value-Added Services

Today we can send "texts" or SMS, play the latest music, games, even pay bills via phone. The VAS industry is worth Rs 6,000 crore, and has spawned a generation of entrepreneurs.

Chota Recharge

It took mobile services to the masses in prepaid services. For as little as Rs 5 or 10 per week (or even daily), it enabled poor farmers, labourers and others to talk as much as they wanted.

Mobile Accessories

Bluetooth headsets, memory cards, car chargers, dangles, mobile covers, mobile speakers, Swarovski adornments, there is so much you can do with your cellphone.

Caller Ringtones

A part of the user's identity today, it has helped save the dying music industry.

